Director's loan account memo

AIBN CHARTERED ACCOUNTANTS · MEMO · JULY 2026

> If a director of an Irish close company takes money out of the company other than as salary, dividend or expenses, three separate charges can arise: an income tax charge on the company of 25 per cent of the amount advanced under section 438 TCA 1997, a benefit in kind charge on the director under section 122 TCA 1997 at a specified rate of 4 per cent for home loans or 13.5 per cent for everything else, and a further charge on the director under section 439 if the loan is ever written off. Company law adds a second layer: section 239 of the Companies Act 2014 prohibits the loan outright unless it is under 10 per cent of relevant assets or the summary approval procedure is completed before the money is drawn. A credit balance, where the director has lent money to the company, is far simpler and can be repaid without income tax, but only if it is properly documented.

What a director's loan account is, and why the direction matters

A director's loan account is the running record of money owed between a director and their company. It can sit in one of two states. An overdrawn account means the director owes the company. A credit balance means the company owes the director. The two directions are treated completely differently, and almost all of the difficulty sits on the overdrawn side.

An overdrawn balance rarely starts as a deliberate loan. It usually builds up from personal spending on a company card, cash drawings taken ahead of a salary run, personal bills paid by the company, or a shortfall between what was drawn during the year and what was voted as remuneration. None of that matters for tax purposes. Section 438(2) TCA 1997 treats a person who simply incurs a debt to the close company as having received a loan of that amount, so no loan agreement is needed for the charge to bite.

There is one narrow carve-out. A debt incurred for the supply of goods or services in the ordinary course of the company's trade is not treated as a loan, provided the credit period given is no longer than six months or the period normally given to the company's customers, whichever is shorter. That covers a genuine trade debt, not a drawings account.

Note also that section 438A extends the charge to loans routed through a subsidiary or through arrangements whose main purpose is to sidestep section 438, so interposing another company does not solve the problem.

- Overdrawn account: the director owes the company. Section 438, benefit in kind and Companies Act 2014 restrictions all apply.
- Credit balance: the company owes the director. Repayment of the principal is not income.

- A formal loan agreement is not required for the tax charge to apply. An informal drawings balance is enough.
- The charge applies to participators and their associates, not only to directors, so a spouse's or relative's balance can be caught.

The close company charge under section 438 TCA 1997

Where a close company lends or advances money to a participator, or to an associate of a participator, the company must account for income tax at the standard rate on the grossed-up equivalent of the loan, treated as if it were an annual payment. The standard rate for 2026 is 20 per cent and Budget 2026 made no change to income tax rates or bands. Grossing up is done by dividing the advance by 0.8, so the tax works out at 25 per cent of the amount actually advanced.

Take a director who draws €40,000 from the company during the year. The company is treated as having made an annual payment of €50,000 and must remit €10,000 of income tax. That €10,000 is not a deduction for corporation tax, it is collected through section 239 as part of the company's corporation tax liability, and it is returned on the CT1. The charge is on the company, not the director. The director is not taxed on the loan itself and gets no credit for the tax the company pays.

There is a statutory exemption in section 438(3), but all three of its conditions must be met. The loan, taken together with any other loans outstanding from the company or its associated companies to the borrower or the borrower's spouse or civil partner, must not exceed €19,050. The borrower must work full-time for the company or an associated company. And the borrower must not have a material interest, which section 437(2) defines as beneficial ownership or control of more than 5 per cent of the ordinary share capital. Most owner-managers fail the third test, so in practice the exemption is of little use to a controlling director.

The tax is refundable. Section 438(4) allows the company to reclaim a proportionate part of the tax once the loan or part of it is repaid, and it gives a dedicated four-year window running from the end of the year of assessment in which the repayment is made. That overrides the general four-year limit in section 865(4). The refund is a claim, not an automatic credit, so it has to be made.

Revenue operates a helpful cash flow practice, set out in Tax and Duty Manual Part 13-02-04 and last reviewed in January 2026. For preliminary corporation tax purposes, Revenue will not require the company to take the section 438 charge into account if the borrower repays the loan by the corporation tax return filing date, that is within nine months of the end of the accounting period in which the loan was made, with electronic filers working to the 23rd day of the ninth month. The practice does not apply to bed and breakfast arrangements, where a new advance is taken out on or shortly after repayment of an old one. Importantly for owner-managers, Revenue states that where a director operates a current account with the company and clears it annually from their own resources, for example out of remuneration, that is not treated as a bed and breakfast arrangement.

- Rate: standard rate income tax, 20 per cent for 2026, on the loan grossed up at 100/80. Effective cost 25 per cent of the advance.

- The charge sits on the company, is not deductible for corporation tax, and is paid through the CT1 under section 239.
- Exemption requires all three of: €19,050 limit, full-time work, and no material interest of more than 5 per cent.
- Refund on repayment is proportionate and must be claimed within four years of the end of the year of assessment of repayment.
- Repaying within nine months of the period end keeps the charge out of preliminary tax, provided the arrangement is not bed and breakfasting.

Benefit in kind on a preferential loan under section 122 TCA 1997

The section 438 charge on the company is separate from, and additional to, the benefit in kind charge on the director. A loan from an employer to an employee or director at a rate below the specified rate is a preferential loan, and the shortfall is taxed as notional pay.

There are two specified rates. A rate of 4 per cent applies where the loan is a mortgage used solely to purchase, repair, develop or improve a residence used by the individual, a former or separated spouse or civil partner, or a rent-free dependent relative, or to pay off another mortgage used for that purpose. A rate of 13.5 per cent applies to every other preferential loan. Both rates have been in force since 1 January 2013, and neither was changed by Budget 2026. A director's overdrawn current account is not a home loan, so 13.5 per cent is the rate that normally applies.

The taxable benefit is the interest that would have been payable at the specified rate less the interest actually paid in the year. Since Finance Act 2017 the comparison is with interest actually paid, not interest payable, so simply accruing interest in the accounts without paying it does not remove the charge. The specified rate is applied to the balance outstanding, on the same basis the employer uses for any actual interest, for example reducing balance.

On a €40,000 interest-free director's loan outstanding for a full year, the benefit is €5,400. That is treated as notional pay, so the company must operate PAYE, PRSI and USC on it through payroll and remit it in the normal way. For a director at the top marginal rate for 2026, being 40 per cent income tax, 8 per cent USC and 4.2 per cent PRSI, that is a combined 52.2 per cent, or roughly €2,819 of tax on the benefit for the year.

Employer PRSI depends on the director's PRSI class. A proprietary director who owns or controls 50 per cent or more of the shareholding is insurable under Class S, and no employer contribution arises. A director below that level is generally Class A, in which case employer PRSI applies to the notional pay at 9 per cent on weekly earnings up to €552 or 11.25 per cent above that for 2026, rising to 9.15 per cent and 11.4 per cent from 1 October 2026.

Charging the director interest at the specified rate removes the benefit in kind, but it is not free. The interest received is income of the company, and interest is non-trading income taxed at 25 per cent rather than 12.5 per cent.

- Specified rate for qualifying home loans: 4 per cent, unchanged since 1 January 2013.
- Specified rate for all other loans, including an overdrawn current account: 13.5 per cent, unchanged since 1 January 2013.
- Benefit equals interest at the specified rate less interest actually paid, not interest merely accrued.
- Taxed as notional pay through payroll: income tax, USC and PRSI, plus employer PRSI where the director is Class A.
- This charge can apply at the same time as the section 438 charge on the same loan.

If the loan is written off: the section 439 TCA 1997 charge

Writing the balance off is the most expensive way to deal with an overdrawn account. Where a company that has been or could be assessed under section 438 releases or writes off all or part of the debt, section 439 treats the borrower as having received income equal to the amount written off grossed up at the standard rate. That deemed income is chargeable under Case IV of Schedule D and goes into the individual's total income for the year of the write-off.

The individual gets a credit for the notional standard rate tax, but the credit is not repayable and cannot be used to relieve the individual's own obligations to account for tax on annual payments. If the deemed income is charged at less than the standard rate, the credit is restricted to the tax actually charged.

Revenue's own worked example shows the mechanics. A close company lends €8,000 to a participator and pays €2,000 under section 438. The following year it writes off €6,000. The participator is treated as receiving €7,500 of income, being €6,000 grossed up at 100/80, with a non-refundable credit of €1,500. For a director already at the higher rate, the net income tax on that €7,500 is €3,000 less the €1,500 credit, so €1,500, which is 25 per cent of the amount written off before USC and PRSI.

Two further points make the write-off route worse than it looks. First, the proportion of the section 438 tax that relates to the written-off part of the loan is not recoverable by the company, so the 25 per cent already paid is lost. Second, the write-off itself gives the company no corporation tax deduction. The same money is therefore taxed twice, once in the company and once in the director's hands.

- Amount written off is grossed up at the standard rate and charged on the director under Case IV of Schedule D.
- Credit for the notional standard rate tax is given but is never refundable.
- The section 438 tax attributable to the written-off amount is permanently lost to the company.
- The write-off is not deductible for corporation tax.
- If the borrower has died or a trust has terminated, the deemed income falls on the estate or the beneficiary.

Company law: what the Companies Act 2014 permits

Tax is only half the picture. Section 239 of the Companies Act 2014 prohibits a company from making a loan or quasi-loan to a director or a person connected with a director, from entering into a credit transaction as creditor for such a person, and from giving a guarantee or providing security in connection with a loan, quasi-loan or credit transaction made by anyone else to such a person. It also catches the assumption or assignment of rights and obligations under a transaction that would have breached the prohibition, and back-to-back arrangements where a third party lends and takes a benefit from the company or its group.

The main practical exception is in section 240. The prohibition does not apply where the value of the arrangement, together with the total outstanding under other such arrangements, is less than 10 per cent of the company's relevant assets. Relevant assets are determined under section 238(2) as the net assets shown in the most recent entity financial statements prepared under section 290 and filed under section 341. Where no statutory financial statements have yet been prepared, relevant assets are the amount of called-up share capital. That fallback matters for young companies: a company incorporated with €100 of issued capital and no filed accounts has a de minimis of €10.

Section 241 deals with what happens if relevant assets later fall so that an existing arrangement breaches the 10 per cent limit, and it expressly excludes arrangements entered into under the summary approval procedure from that clawback.

Where the 10 per cent exception is not available, the summary approval procedure can authorise the loan. Section 200(1)(e) lists a section 239 transaction as a restricted activity. Under section 202 the members must pass a special resolution not more than 12 months before the activity begins, and the directors must make a declaration at a board meeting held not earlier than 30 days before the members' meeting, or before the last member signs a written resolution. Section 203 sets out what the declaration must contain for a section 239 transaction: the circumstances and nature of the arrangement, the persons involved, the purpose, the benefit accruing to the company, and the directors' opinion, having made full enquiry, that the company will be able to pay its debts in full as they fall due for 12 months after the transaction. A copy of the declaration must reach the Registrar of Companies not later than 21 days after the restricted activity commences. Section 203(4) lets the court validate a late filing where it is just and equitable, but that is a remedy, not a plan.

Two points are frequently missed. The approval has to be in place before the money is drawn, because the resolution must precede the commencement of the activity, and a director who signs the solvency declaration without reasonable grounds takes on personal exposure. Separately, sections 242 to 245 contain further limited exceptions, for example for certain intra-group and ordinary course business arrangements, which should be checked in any specific case.

Documentation and disclosure also matter. Section 236 provides that where the terms of a company loan to a director are not in writing, or are written but silent or ambiguous, the loan is presumed repayable on demand and to have borne interest at the appropriate rate. Section 307 requires the financial statements to disclose directors' loans, quasi-loans, credit transactions and guarantees, including the value of the arrangement, amounts advanced and repaid, the interest rate and the main conditions. Section 308 gives a de minimis: disclosure is not required where the aggregate for a director and their connected persons did not at any time during the financial year exceed €7,500.

It is worth being clear what a breach actually costs. An arrangement entered into in breach of section 239 of the Companies Act 2014 is voidable at the instance of the company under section 246. On an insolvent winding up, the court may under section 247 declare the person who benefited personally liable, without limitation, for the company's debts. The exposure is therefore not only tax: it reaches the director personally if the company fails.

- Section 239 prohibits loans, quasi-loans, credit transactions, guarantees and security in favour of directors and connected persons.
- Section 240 exception: value plus other outstanding arrangements less than 10 per cent of relevant assets.
- Relevant assets are net assets per the most recent filed entity financial statements, or called-up share capital where none have been prepared.
- Summary approval procedure: special resolution within 12 months before commencement, directors' declaration made no earlier than 30 days before the members' meeting, filed with the Registrar within 21 days of commencement.
- Section 307 disclosure in the financial statements, with a €7,500 de minimis per director and connected persons under section 308.

Credit balances, and the cost of clearing an overdrawn account

Where the director has genuinely lent money to the company, the position is straightforward. Repayment of the principal is a return of the director's own capital, not income, so there is no income tax, USC or PRSI on it. Sections 438 and 122 do not apply because they operate in the opposite direction. In a cash-tight business this is often the cleanest way for an owner to take money out.

Three things protect that position. First, put it in writing. Section 237 of the Companies Act 2014 presumes, until the contrary is proved, that a transaction or arrangement between a director and the company is neither a loan nor a quasi-loan where the terms are not in writing or are ambiguous. Where a loan is proved but the terms are unclear, it is presumed to carry no interest, to be unsecured, and if secured, to be subordinated to the company's other debts. A director who never documented the advance may find they cannot establish a creditor claim at all. Second, keep evidence of where the money came from, because a credit balance without a traceable source invites questions about undeclared income. Third, be careful about charging interest. Section 437 TCA 1997 can treat interest paid by a close company to a director with a material interest as a distribution, and therefore non-deductible, to the extent it exceeds 13 per cent per annum of the lesser of the loans on which interest is paid and the issued share capital.

For an overdrawn account there are four ways out, and the difference in cost between them is large. The illustrations below assume a director already at the top marginal rate for 2026, being 40 per cent income tax, 8 per cent USC and 4.2 per cent PRSI, a combined 52.2 per cent, a company paying corporation tax at 12.5 per cent on trading profits, and €10,000 of loan to clear.

Route one is to repay in cash from personal funds. This is by some distance the cheapest. Repayment stops further benefit in kind accruing and entitles the company to a proportionate refund under section 438(4), but it does not undo the section 122 benefit in kind for the months the balance was outstanding, which stays taxable on the director. If if the repayment happens before the corporation tax filing date the preliminary tax practice keeps the charge out of the company's preliminary tax computation.

Route two is a salary or bonus. To leave €10,000 net at a 52.2 per cent marginal rate the company needs to pay a gross amount of about €20,920. That is deductible for corporation tax if it is wholly and exclusively for the purposes of the trade. For a proprietary director insurable under Class S there is no employer PRSI, so about €20,920 of pre-tax profit is consumed. For a Class A director, employer PRSI at 11.25 per cent adds about €2,354, also deductible, taking the pre-tax profit needed to about €23,274. The payment must also go through payroll in real time.

Route three is a dividend. The gross amount needed is the same €20,920, because the marginal rate on dividend income is also 52.2 per cent for a director paying PRSI at Class S or Class K. The difference is that a dividend is not deductible, so it must come out of profits that have already borne corporation tax. About €23,909 of pre-tax trading profit is needed to clear the same €10,000. Dividend withholding tax at 25 per cent must be operated and is credited against the director's final liability. A dividend also needs distributable reserves, must be paid pro rata to all shareholders of the class unless the share structure says otherwise, and can attract the 3 per cent USC surcharge where the director's non-PAYE income exceeds €100,000, which pushes the marginal rate to 55.2 per cent.

Route four is to write the loan off, which is the most expensive of all for the reasons set out above, and should be treated as a last resort rather than a planning option.

If the company pays the director interest on a credit balance, there is a withholding obligation to deal with. As a general rule section 246 TCA 1997 requires a company to deduct income tax at the standard rate from yearly interest it pays and to account for that tax to Revenue, and the interest is then taxable in the director's hands. Interest is therefore not a way of extracting cash quietly, and the deduction in the company is also subject to the close company interest restriction in section 437 TCA 1997.

- Repay in cash: triggers the section 438(4) refund and stops further benefit in kind, though the benefit in kind already accrued still stands. Cheapest route.
- Bonus for a Class S proprietary director: about €20,920 gross and about €20,920 of pre-tax profit to clear €10,000.
- Bonus for a Class A director: add about €2,354 of employer PRSI, so about €23,274 of pre-tax profit.
- Dividend: about €20,920 gross but no corporation tax deduction, so about €23,909 of pre-tax profit, plus 25 per cent dividend withholding tax to operate.
- Write-off: section 439 charge on the director, no corporation tax deduction, and the section 438

tax on the written-off part is lost.

- Timing point: clearing the balance within nine months of the accounting period end keeps the section 438 charge out of preliminary tax, provided it is not replaced by a fresh advance.

Key figures at a glance

Item	2026 position	Notes
Section 438 charge: rate and grossing-up basis	Income tax at the standard rate (20% for 2026) on the loan grossed up at 100/80, giving an effective 25% of the amount advanced	Revenue TDM Part 13-02-03, last updated February 2025. Example 1: €1,000 loan is grossed to €1,250 and €250 of income tax is remitted under section 239. Standard rate confirmed unchanged for 2026 by the Revenue Budget 2026 Summary.
Section 438(3) exemption threshold	€19,050	Aggregate of the loan and other loans outstanding from the company or associated companies to the borrower and the borrower's spouse or civil partner. All three conditions in section 438(3) must be met.
Material interest test (section 437(2) TCA 1997)	More than 5% of ordinary share capital	Beneficial ownership of, or ability to control, more than 5 per cent, counting associates. Acquiring a material interest while a loan is outstanding triggers a deemed new loan.
Section 438(4) refund claim window	4 years from the end of the year of assessment in which the loan is repaid	Overrides the general limit in section 865(4). Refund is proportionate where only part of the loan is repaid.
Revenue preliminary tax practice on section 438	Charge need not be taken into account for preliminary tax if the loan is repaid within nine months of the accounting period end	Revenue TDM Part 13-02-04, last reviewed January 2026. Does not apply to bed and breakfast arrangements, but a director's current account cleared annually from the director's own resources is not treated as one.
Preferential loan specified rate: qualifying home loans	4%	In force since 1 January 2013 per Revenue TDM Part 05-01-01d. Confirmed still current on the live Revenue page and not changed by Budget 2026.
Preferential loan specified rate: all other loans	13.5%	In force since 1 January 2013. This is the rate that applies to a director's overdrawn current account. Set by the Department of Finance, so capable of change in any Finance Act.
Benefit in kind computation basis	Interest at the	Finance Act 2017 changed the comparison

Item	2026 position	Notes
	specified rate less interest actually paid in the year	from interest paid or payable to interest actually paid. Sections 122 and 122A TCA 1997. Treated as notional pay, so PAYE, PRSI and USC apply.
Section 439 write-off charge	Amount written off grossed up at the standard rate, charged under Case IV of Schedule D, with a non-refundable standard rate credit	Revenue Example 6: €6,000 written off gives deemed income of €7,500 and a non-refundable credit of €1,500. The section 438 tax on the written-off portion is not recoverable by the company.
Companies Act 2014 de minimis for loans to directors	Less than 10% of relevant assets	Section 240. Value of the arrangement plus the total outstanding under other such arrangements.
Definition of relevant assets	Net assets per the most recent entity financial statements prepared under section 290 and filed under section 341, or called-up share capital where no statutory financial statements have been prepared	Section 238(2), applied to section 240 by cross-reference. The share capital fallback makes the de minimis very small for a newly incorporated company.
Summary approval procedure: special resolution timing	Passed not more than 12 months before the restricted activity commences	Section 202. The shorter 60 day and 30 day windows in section 202(3) apply only to paragraph (d) of the definition in section 200(1), which is section 118. A section 239 transaction is paragraph (e), so the 12 month rule applies.
Summary approval procedure: directors' declaration timing	Made at a board meeting held not earlier than 30 days before the members' meeting or the last signature on a written resolution	Section 202. The declaration must fall within the 30 days preceding the members' decision, not before that window.
Summary approval procedure: filing deadline	Copy of the declaration delivered to the Registrar not later than 21 days after the restricted activity commences	Section 203, which covers declarations for both section 82(2) and section 239 transactions. Section 203(4) allows the court to validate a late filing where just and equitable.
Directors' loan disclosure de minimis in	€7,500	Section 308. Aggregate for an individual

Item	2026 position	Notes
financial statements		director and connected persons, tested at any time during the financial year. Disclosure requirement itself is in section 307.
Income tax rates 2026	20% standard, 40% higher	Revenue Budget 2026 Summary, published 7 October 2025: no changes to tax rates and tax bands for 2026. Agrees with the firm's codebase figures.
Standard rate cut-off points 2026	€44,000 single, €53,000 married or civil partners with one income, €53,000 plus up to €35,000 for a second income	Also €48,000 for a single or widowed person qualifying for the single person child carer credit. Agrees with the firm's codebase figures.
USC rates and bands 2026	0.5% on the first €12,012, 2% on the next €16,688 (to €28,700), 3% on the next €41,344 (to €70,044), 8% on the balance	The 2 per cent band ceiling rose from €27,382 in 2025 to €28,700 in 2026 per the Revenue Budget 2026 Summary. Agrees with the firm's codebase figures.
USC exemption threshold	€13,000 of total income	Above €13,000 USC is charged on the full income, not just the excess. Agrees with the firm's codebase figures.
USC surcharge on non-PAYE income	3% where non-PAYE income exceeds €100,000 a year	Takes the top USC rate to 11 per cent on the excess. Relevant to the dividend route because dividend income is not PAYE income. Agrees with the firm's codebase figures.
PRSI Class S and Class K rate 2026	4.2% to 30 September 2026, 4.35% from 1 October 2026	Class S applies to a proprietary director owning or controlling 50 per cent or more of the shareholding. Class K applies to unearned income including dividends for employees. Minimum annual Class S charge €650. Agrees with the firm's codebase figures, although the step to 4.2 per cent took effect on 1 October 2025 rather than 1 January 2026.
PRSI Class A employer rates 2026	9% on weekly earnings up to €552 and 11.25% above €552, rising to 9.15% and 11.4% from 1 October 2026	The gov.ie and citizensinformation.ie pages holding these figures returned HTTP 403 on direct fetch, so the values come from indexed extracts of those official pages rather than a direct read. Verify against the SW14 2026 Contribution Rates and User Guide before publication.

Item	2026 position	Notes
PRSI class for a proprietary director	Class S where the director owns or controls 50% or more of the shareholding	Applies from 1 July 2013. Below 50 per cent the class is decided case by case under the Code of Practice on employment status. No employer PRSI arises on Class S, which materially changes the cost of the bonus route.
Top marginal rate assumed in the cost comparison (2026)	52.2% (40% income tax plus 8% USC plus 4.2% PRSI)	Rises to 52.35 per cent from 1 October 2026 as PRSI moves to 4.35 per cent, and to 55.2 per cent where the 3 per cent USC surcharge applies to non-PAYE income above €100,000.
Corporation tax rates	12.5% trading income, 25% non-trading and excepted trade income	The 25 per cent rate is relevant where the company charges the director interest, since interest received is Case III non-trading income. Agrees with the firm's codebase figures.
Dividend withholding tax	25%	Withheld by the company on distributions and credited against the shareholder's final liability.
Corporation tax return and payment date	On or before the 23rd day of the ninth month after the end of the accounting period for electronic filers	This is the date by which a loan must be repaid to benefit from Revenue's preliminary tax practice on section 438.
Illustrative cost of clearing €10,000 of overdrawn loan	Bonus, Class S director: about €20,920 gross and about €20,920 pre-tax profit. Bonus, Class A director: about €23,274 pre-tax profit. Dividend: about €23,909 pre-tax profit	CA Farm calculation from the confirmed 2026 rates: €10,000 divided by 0.478 gives €20,920 gross; employer PRSI at 11.25 per cent adds €2,354; a non-deductible dividend of €20,920 requires €20,920 divided by 0.875 of pre-tax profit. Assumes the whole amount falls at the top marginal rate and that the bonus is wholly and exclusively for the trade.
Section 437 TCA 1997 limit on deductible interest to directors	Interest above 13% per annum of the lesser of the loans carrying interest and the issued share capital is treated as a distribution	Applies where the director has a material interest. Taken from an indexed extract of Revenue TDM Part 13-02-01 rather than a full read of the manual, so confirm the current computation before advising on interest on a credit balance.

Before you rely on this

- Cross-check against the firm's codebase figures: every 2026 figure I was asked to verify agrees with the official sources. Income tax at 20 and 40 per cent, standard rate cut-off points of €44,000, €53,000 and up to €35,000 for a second income, personal credits of €2,000 and €4,000, Employee and Earned Income credits of €2,000 each, the USC bands of 0.5 per cent to €12,012, 2 per cent to €28,700, 3 per cent to €70,044 and 8 per cent on the balance, the €13,000 USC exemption, the 3 per cent self-employed surcharge above €100,000, corporation tax at 12.5 and 25 per cent and the R&D credit at 35 per cent are all confirmed by the Revenue Budget 2026 Summary and the Revenue rate pages. I found no disagreement.

- One nuance on PRSI. The firm's note says 4.1 per cent in 2025 and 4.2 per cent from the start of 2026. The official position is that 4.2 per cent took effect on 1 October 2025, so 4.1 per cent applied only to the first nine months of 2025. The 2026 figures of 4.2 per cent to 30 September and 4.35 per cent from 1 October are correct.
- The pension relief age bands, the €115,000 earnings cap, the 33 per cent CGT rate and the €1,270 annual exemption were not checked in this research because the memo does not rely on them. They should be verified separately if they appear in the published version.
- The Class A employer PRSI rates and the €552 weekly threshold are the weakest link in the figures. Direct fetches of the gov.ie PRSI Class A Rates page, the SW14 2026 Contribution Rates and User Guide and the citizensinformation.ie PRSI page all returned HTTP 403, so the numbers come from indexed extracts of those official pages. Confirm against SW14 before publication.
- The specified rates for preferential loans are set by the Department of Finance and can be changed by any Finance Act. They were confirmed as 4 per cent and 13.5 per cent on the live Revenue page as at 29 July 2026 and were not changed by Budget 2026, but they carry a standing risk of change each October.
- Only the income tax treatment of a section 439 write-off was confirmed from an official source. Revenue's manual establishes the Case IV Schedule D charge and the non-refundable standard rate credit. It does not address USC or PRSI on the deemed income. Do not state a combined effective rate for a write-off without confirming the USC and PRSI position.
- The section 437 TCA 1997 restriction on interest paid to directors was taken from an indexed extract of Revenue Tax and Duty Manual Part 13-02-01, not a full read. Confirm the current computation before advising any client to charge interest on a credit balance.
- Companies Act 2014 sections 242 to 245 contain further exceptions to the section 239 prohibition, for example for directors' expenses, certain business transactions and intra-group arrangements. These were not examined and may change the analysis in specific cases.
- The Law Reform Commission's revised text of section 204 carries a note that amendments made in 2024 modify the delivery requirements for summary approval procedure declarations and had not commenced. Check the current commencement position for the Companies (Corporate Governance, Enforcement and Regulatory Provisions) Act 2024 before relying on the 21 day filing rule as stated.
- All marginal rate illustrations assume a single higher rate taxpayer with no other reliefs, ignore pension contributions, and ignore the reduced USC rates available to people aged 70 and over and to full medical card holders with aggregate income of €60,000 or less.
- Whether a director is Class A or Class S turns on the facts. A 50 per cent or greater shareholding gives Class S. Below that, classification is decided case by case, so the employer PRSI cost of the bonus route cannot be assumed either way without checking.
- Revenue states expressly that its preliminary tax practice on section 438 is subject to ongoing review

> and may be amended or withdrawn. It is a published practice, not a statutory entitlement.
>
> - The Irish Statute Book site returned HTTP 403 throughout this research, so all Companies Act 2014 provisions were read from the Law Reform Commission's Revised Acts service. That is an official source, but a final check against the Statute Book text is worth doing before publication.

Sources

Revenue: Loans to participators and associates — https://www.revenue.ie/en/companies-and-charities/corporation-tax-for-companies/close-companies/loans.aspx

Revenue Tax and Duty Manual Part 13-02-03: Company Charge to Income Tax on Loans to Participators (last updated February 2025) — https://www.revenue.ie/en/tax-professionals/tdm/income-tax-capital-gains-tax-corporation-tax/part-13/13-02-03.pdf

Revenue Tax and Duty Manual Part 13-02-04: Preliminary Corporation Tax on Loans to Participators in Close Companies (last reviewed January 2026) — https://www.revenue.ie/en/tax-professionals/tdm/income-tax-capital-gains-tax-corporation-tax/part-13/13-02-04.pdf

Revenue: Preferential loans (benefit in kind) — https://www.revenue.ie/en/employing-people/benefit-in-kind-for-employers/other-benefits/preferential-loans.aspx

Revenue Tax and Duty Manual Part 05-01-01d: The provision of preferential loans (last reviewed October 2024) — https://www.revenue.ie/en/tax-professionals/tdm/income-tax-capital-gains-tax-corporation-tax/part-05/05-01-01d.pdf

Revenue Tax and Duty Manual Part 13-02-01: Distributions, interest paid to directors — https://www.revenue.ie/en/tax-professionals/tdm/income-tax-capital-gains-tax-corporation-tax/part-13/13-02-01.pdf

Revenue Budget 2026 Summary (published 7 October 2025) — https://www.revenue.ie/en/corporate/press-office/budget-information/current-year/budget-summary.pdf

Revenue: Standard rates and thresholds of USC — https://www.revenue.ie/en/jobs-and-pensions/usc/standard-rates-thresholds.aspx

Revenue: Other rates of USC — https://www.revenue.ie/en/jobs-and-pensions/usc/other-rates.aspx

Revenue: Universal Social Charge overview — https://www.revenue.ie/en/jobs-and-pensions/usc/index.aspx

Revenue: Corporation Tax basis of charge — https://www.revenue.ie/en/companies-and-charities/corporation-tax-for-companies/corporation-tax/basis-of-charge.aspx

Revenue: Corporation Tax payment and filing — https://www.revenue.ie/en/companies-and-charities/corporation-tax-for-companies/corporation-tax-payment-and-filing/payment-and-filing.aspx

Revenue: Dividend Withholding Tax — https://www.revenue.ie/en/companies-and-charities/dividend-withholding-tax/index.aspx

Companies Act 2014 section 200 (restricted activities), Law Reform Commission Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/200/revised/en/html

Companies Act 2014 section 202 (Summary Approval Procedure), Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/202/revised/en/html

Companies Act 2014 section 203 (declaration for a section 82(2) or section 239 transaction), Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/203/revised/en/html

Companies Act 2014 section 236 (presumptions on loans by a company to a director), Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/236/revised/en/html

Companies Act 2014 section 237 (presumptions on loans by a director to the company), Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/237/revised/en/html

Companies Act 2014 section 238 (relevant assets definition in subsection 2), Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/238/revised/en/html

Companies Act 2014 section 239 (prohibition of loans to directors and connected persons), Revised Acts —

https://revisedacts.lawreform.ie/eli/2014/act/38/section/239/revised/en/html

Companies Act 2014 section 240 (arrangements of certain value, the 10 per cent exception), Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/240/revised/en/html

Companies Act 2014 section 241 (reduction in relevant assets), Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/241/revised/en/html

Companies Act 2014 section 307 (disclosure of directors' loans in financial statements), Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/307/revised/en/html

Companies Act 2014 section 308 (€7,500 disclosure de minimis), Revised Acts — https://revisedacts.lawreform.ie/eli/2014/act/38/section/308/revised/en/html

Department of Social Protection: PRSI Class S rates — https://www.gov.ie/en/department-of-social-protection/publications/prsi-class-s-rates/

Department of Social Protection: PRSI Class A rates — https://www.gov.ie/en/department-of-social-protection/publications/prsi-class-a-rates/

Department of Social Protection: PRSI Class K rates — https://www.gov.ie/en/department-of-social-protection/publications/prsi-class-k-rates/

Department of Social Protection: PRSI and family employment (proprietary directors) — https://www.gov.ie/en/department-of-social-protection/publications/prsi-and-family-employment/

Citizens Information: Paying social insurance (PRSI) — https://www.citizensinformation.ie/en/social-welfare/irish-social-welfare-system/social-insurance-prsi/paying-social-insurance/

Department of Social Protection: PRSI 2026 Contribution Rates and User Guide (SW14) — https://www.gov.ie/en/department-of-social-protection/collections/prsi-contribution-rates-and-user-guide-sw14/